

By BERTIL LINTNER

BEIJING'S ROAD TO RUIN

THE BELT AND ROAD INITIATIVE AIMED TO TRANSFORM THE WORLD, WITH CHINA AS THE FULCRUM. INSTEAD, IT IS A DISASTER THAT NATION AFTER NATION IS OPTING OUT OF. THE TREND WILL ONLY INTENSIFY IN 2025

IT **began in 2013 as a grand scheme that was going to transform the world**. It was going to be bigger and more generous than America's Marshall Plan, which helped rebuild Europe after World War II. China was going to build roads, railways, bridges, airports and ports across the globe. Ten years later, however, Chinese president Xi Jinping recast the BRI as 'small and beautiful'—and said that the emphasis should be on smaller and less costly sectors such as energy and technology. Now, it is becoming increasingly obvious that Xi's Belt and Road Initiative (BRI) has become a financial disaster not only for the countries that have received Chinese loans which they cannot repay—money from Beijing means loans, not straightforward aid—but for China as well.

Foreign Affairs reported in its December 17 issue that this comes at a time when China's growth has slowed significantly since the property sector collapsed in 2021 and Covid-related restrictions impeded all types of economic activity in 2022. A weaker and less assertive China may sound like good news for India. But as Beijing may want to divert attention from its domestic and other problems, China's behaviour in 2025 may become more unpredictable than in the past—and that could have unexpected consequences for the region and beyond.

There is no doubt that the BRI cost of perhaps as much as a trillion US dollars has failed to achieve any substantial improvements in the countries that were going to benefit from China's supposed largesse. The initial enthusiasm for the project has given way to broken promises, cracked dams, railways to nowhere—and poor countries becoming politically dependent on China because they cannot service their debts.

In some cases, China has bartered unpaid loans for equity. The handover of Hambantota port in Sri Lanka to a Chinese conglomerate is an example of that, while Laos, when it could not repay its loans, had to give up maintenance of the country's electric power grid to a Chinese company. China has thus

A WEAKER CHINA MAY SOUND LIKE GOOD NEWS FOR INDIA. HOWEVER, TO DIVERT **ATTENTION FROM DOMESTIC AND OTHER PROBLEMS, CHINA'S BEHAVIOUR** MAY BE MORE UNPREDICTABLE IN 2025